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Spring 2026
Entrepreneurship (MGT602)
Assignment No. 1
Due Date: May 21, 2026
Total Marks: 10

Topic: Franchising Decisions and Entrepreneurial Challenges

Learning Objectives

- To help students understand practical decision-making involved in franchising businesses.
- To enable students to analyze how franchisor controls influence entrepreneurial freedom and business operations.

Learning Outcomes

- Students will be able to examine real-world franchising situations critically.
- Students will be able to propose suitable entrepreneurial decisions based on franchise-related challenges.

Background: Franchising is a popular route to entrepreneurship in Pakistan because it allows individuals to start businesses under established brand names. While franchising reduces certain business risks through brand recognition and training support, franchisees often face operational restrictions and financial obligations. Entrepreneurs must therefore carefully evaluate whether the benefits of franchising outweigh the limitations before entering such agreements.

Case Scenario: Bilal, an entrepreneur from Faisalabad, purchased a franchise of a famous fast-food brand. Initially, the business performed well due to the strong brand image and customer trust. However, after a few months, Bilal started facing several issues. The franchisor restricted him from introducing local food items demanded by customers, required expensive interior renovations according to updated company standards, and imposed fixed operating hours even during low-sales periods. In addition, Bilal had to pay monthly royalty and advertising charges despite declining profits. Bilal now feels that he has limited control over his own business decisions.

Requirements:

As an Entrepreneurship Advisor, analyze Bilal's situation and answer the following:

1. Identify **two franchisor controls** that are creating challenges for Bilal.
2. Explain **two possible benefits** Bilal is still receiving from operating under a franchise system despite these difficulties.

Briefly justify each point with reference to the given case scenario.
(Each point carries 2.5 marks = Total 10 Marks)